

Palantir Technologies Inc.

PLTR NYSE

Hold	\$122.56 ▼ 0.66%	12M Price Target \$140.00	52-Week Range \$106.37 – \$207.52	Market Cap \$294.51B
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PLTR: Cooling Off After Run, But Gov't Tailwinds Intact

WHAT HAPPENED

- Stock is down ~9% in three sessions (\$134 → \$122), but today's tape is unusual — only 4M shares traded vs 30M+ recent days. That's not panic selling; that's exhaustion. The Motley Fool "buying more" headline tells you retail is stepping in on the dip, but the smart-money options flow (big put buying at \$136-137 strikes) says pros were positioning for exactly this move before it happened.
- Citi raised estimates citing commercial (non-government) growth rebound — that's actually important because the bear case on PLTR has always been "it's just a government contractor." If commercial is reaccelerating, the bull thesis widens.

WHY IT MATTERS

The Oracle Pentagon deal (\$7B) mentioned in the Stocktwits headline is a double-edged sword — retail thinks PLTR benefits from the "AI-for-defense" theme rising, but institutionally it's a warning shot that Oracle is muscling into Palantir's turf. Combine that with the insider selling (Director Moore dumped \$2M+ mid-July right near the highs) and bearish put flow, and this looks like smart money taking chips off the table after a monster run. Here's what to watch: PLTR still trades at a nosebleed multiple that only makes sense if government AI spending accelerates AND commercial keeps growing 30%+. The stock at 16% of its 52-week range means we're closer to the bottom of the recent trading zone — a bounce is likely, but the trend has clearly shifted from "up and to the right" to "digesting gains."

POLICY & POLITICAL WATCH

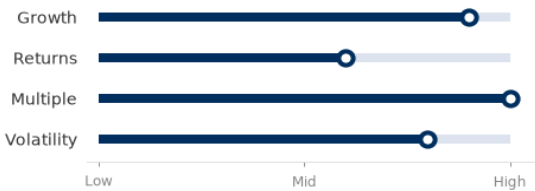
The big one is the FY2027 defense authorization moving through Congress right now, which includes expanded funding for the JADC2 program (Joint All-Domain Command and Control) — Palantir's Maven Smart System is a prime beneficiary if this gets fully funded. Also watch the ongoing DOGE-era federal contract review: the Trump administration has been consolidating contracts toward "efficient" AI vendors, which has favored PLTR, but any pivot toward multi-vendor mandates (which Oracle's new deal hints at) chips away at Palantir's near-monopoly on defense AI. Third angle: the EU AI Act enforcement kicks up in Q3 — Palantir's European commercial business could face compliance headwinds that don't hit US-only rivals.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$122.56
12M Price Target	\$140.00
Upside / (Downside)	+14.2%
Market Cap	\$294.51B
FY2026E Revenue	\$4,850M
FY2027E Revenue	\$6,300M
FY2026E EPS	\$0.62
FY2027E EPS	\$0.85
Fwd P/E	197.7x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$145.00	\$125.00	\$108.00
6 Months	\$175.00	\$140.00	\$95.00
1 Year	\$210.00	\$155.00	\$85.00
2 Years	\$260.00	\$180.00	\$75.00
5 Years	\$400.00	\$250.00	\$90.00
10 Years	\$700.00	\$400.00	\$120.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Real Estate (+2.2%) and Energy (+0.96%) — real estate is catching a bid on rate-cut hopes, energy on geopolitical premium. Defensive rotation vibes.

COOLING OFF: Communication Services down 3.8% over 5 days — big tech and AI-adjacent names are taking a breather after a long run, which is exactly the tape PLTR is caught in.

ROTATION WATCH: Money is quietly leaving high-multiple growth (AI names, comm services) and rotating into rate-sensitive and defensive sectors. That's a headwind for PLTR in the short term — it's the poster child for expensive AI growth.

RELATED PLAY: If you want exposure to the same defense-AI theme with less multiple risk, look at the picks-and-shovels — data center REITs (DLR, EQIX) that host these AI workloads, or defense primes (LMT, RTX) that partner with Palantir on contracts.

WHO'S WINNING IN THIS SPACE?

- ORCL (Oracle): Winning big defense AI deals — the \$7B Pentagon contract announced overnight is a direct competitive shot at PLTR's core market.
- ANET (Arista Networks) / NVDA context: Infrastructure names supporting AI buildout continue to see steadier demand vs. application-layer names like PLTR.

PLTR CONTEXT: Palantir is lagging the AI cohort right now — down 9% in three days while Oracle is up on the same defense theme that should benefit PLTR. That's a tell: the market is starting to price in competitive risk, not just enjoying the AI tide lifting all boats. When your peer wins and you drop, that's a signal to pay attention to.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

Position Size: 2-4% of portfolio

Entry Points: \$108-115 on pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: Government revenue growth slows below 25% YoY or major defense contract loss

Hedging: Buy puts 10% out-of-the-money, or pair with short position in a richer AI name